

oil price hike to consumers helps in this. This substitution effect is likely to be limited in the short run, but it will squeeze consumer budgets pushing them to reduce other expenditures. This will moderate total demand. Usually, aggregate demand contraction also requires an increase in interest rates and some squeezing of other government expenditure. Both pose their own problems.

Increasing exports will obviously help reduce the CAD and this should be a priority because export performance has been weak for several years. The currency depreciation will help, but there are many other things that need to be done. We could consider reducing

lower than earlier projected, but this will also be true for all countries. We could end up being with growth only a little over 6% in real terms.

A second factor that may affect growth in the current year is the unusually strong El Niño effect. Several international sources have predicted that its effect this year is super strong, which could mean a poor monsoon that would adversely affect agricultural growth and food production.

Lower growth in FY27 will lead to lower tax revenues and possibly also higher expenditure on the employment programme. This will lead to a slippage in the fis-

on imports. Why have measures to boost manufacturing not yielded the desired results? Is it true that India chose to focus on building services as an engine of growth as a result of which we have missed the bus on manufacturing?

You seem to imply that we could have solved our balance of payments problem through a simplistic import substitution approach, which would also have helped to expand manufacturing. I have a somewhat different view.

First, it is true that we have done well in services, mainly IT services,

quality employment.

Second, it is not correct to say that manufacturing was ignored. All governments for the past 20 years have targeted raising the share of manufacturing in GDP. The UPA targeted raising it from 15% in 2004 to 25% by 2025. It was able to achieve only about 17% by 2014. The current government retained the 25% target, and the share actually rose a little to 18% initially, but then it declined. It is down to 16% according to the latest GDP series!

Many people think the failure in our policies towards manufactured goods is that we did not push import substitution more vigorously. I think this is the wrong conclusion. The principal reason for our failure in manufacturing lies on the export side. China's gradual withdrawal from the market for simpler manufactured goods provided a great opportunity for us to expand exports of these items. Bangladesh and Vietnam exploited it very successfully. We need to analyse why we failed.

If we had pushed for more import substitution, we would have made the economy more uncompetitive and taken a bigger hit on exports.

▶▶▶ India's trade deficit with China has risen

“WE CAN REDUCE THE CAD BY RAISING EXPORTS. THIS WILL COUNTER THE NEGATIVE EFFECT OF DEMAND COMPRESSION”

import duties where they are currently relatively high, eg. steel, petrochemicals. The rupee depreciation provides room for reducing import duties and this will help MSMEs since these are key inputs.

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What does this mean for growth in FY27?
Our growth rate will be

cal deficit. We will know more by the middle of the fiscal year. If the slippage is significant, it is worth acknowledging it up front. It may be unavoidable for the current year, but we will make up for it next year.

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The Indian economy is heavily dependent

and that is because our policies have worked well in this sector, generating substantial forex earnings and high-quality employment. Some of this may now be under threat because of AI, but that is a separate challenge. Modern services are an important area for GDP growth, earning forex and creating high